

Mao Geping - H

Global China Summit 2026 takeaways: Solid growth visibility in 2026; maintain OW

Mao Geping (MGP) attended our China Summit and we met with MGP management. We believe MGP management's commitment that no share reduction in the short term (6 months) will partially ease investor concerns post its recent placement. Meanwhile, MGP maintained focus on shareholder returns, including steady dividends (>30% payout ratio) and share buybacks (in preparation). We also see solid growth visibility for MGP in 2026, supported by its leading positioning in the [experience-led](#) consumption trend, a clear roadmap to grow its store network, increasing brand awareness, solid product offerings tailored to Chinese facial features and aesthetics, category expansion, and a continuously differentiated retail experience. Our Dec-26 PT of HK\$130 implies 31x 27E P/E. MGP is our top pick in the China beauty segment.

- On track to 2026 guidance** (sales +30% with stable margin). 1Q sales went up by >20% yoy, with offline +c20% (SSSG + >12%, better than the full year guidance), and Apr continued the solid trend. This was within MGP's internal expectations and MGP remained confident in achieving its 2026 guidance. In terms of channel development: 1) Online: MGP adopted an early-start approach with campaigns initiated since 1 May for the upcoming 18 Jun events. This should help MGP to seize the edge during the event, in our view. As a reminder, sales during 18 Jun and 11.11 events accounted for c40% of full year online sales. 2) Offline: MGP maintained its target of 30 net openings in 2026, mainly in the high-end shopping malls in high-tier cites.
- Overseas expansion strategy.** MGP is actively exploring overseas markets, with its first Hong Kong store (opened in Oct 2025) as a first step. MGP expects more stores in HK in 2026, and potentially into Southeast Asia, Europe, etc., mainly through self-operated stores in high-end shopping malls. Meanwhile, MGP remained agile in M&A opportunities. The strategic partnership with L Catterton would also enhance its global expansion visibility
- A clear roadmap to support mid-term growth.** 1) Customer base expansion: there is significant potential in target customer penetration (offline 6.4mn vs target customers of 40mn; online 15.6mn, vs target customers of 300-400mn); 2) new product pipelines: e.g., MGP launched several new products in 1Q, such as the Radiant Revitalizing Multi-Action series (琉光赋活系列), Perfection Radiance Primer Cream (皮肤衣), UV Primer (防晒隔离乳), etc.; 3) store network expansion: MGP targets 600 counters (vs. 445 as of 2025) in the mid-term, with c30 net openings annually.

Overweight

1318.HK, 1318 HK

Price (22 May 26): HK\$61.10

Price Target (Dec-26): HK\$130.00

Hong Kong

Consumer

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J.P. Morgan Securities (China) Company Limited

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	78	78	73	76	
Growth	1	2	6	19	
Momentum	89	65			
Quality	3	1	6		
Low Vol	80	82	91		

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	-25.2%	-19.9%	-28.7%	-
Rel	-25.1%	-17.7%	-25.6%	-

Company Data

Shares O/S (mn)	490
52-week range (HK\$)	130.60-55.40
Market cap (\$ mn)	3,823
Exchange rate	7.83
Free float (%)	28.8%
3M ADV (mn)	2.02
3M ADV (\$ mn)	18.5
Volatility (90 Day)	47
Index	HSI
BBG ANR (Buy Hold Sell)	33 1 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	5,050	6,568	8,376	10,219
Adj. EBITDA	1,637	2,123	2,723	3,331
Adj. EBIT	1,546	2,049	2,631	3,225
Adj. net income	1,204	1,570	2,023	2,488
Adj. EPS	2.46	3.20	4.13	5.08
BBG EPS	2.46	3.19	4.03	4.96
Cashflow from operations	1,199	1,580	1,888	2,205
FCFF	1,015	1,338	1,703	1,980
Margins and Growth				
Revenue Growth Y/Y (%)	30.0%	30.0%	27.5%	22.0%
Same Store Sales Growth (%)	-	-	-	-
Gross margin	84.2%	84.3%	84.4%	84.5%
EBITDA margin	32.4%	32.3%	32.5%	32.6%
EBITDA Growth Y/Y (%)	38.3%	29.7%	28.3%	22.4%
EBIT margin	30.6%	31.2%	31.4%	31.6%
Net margin	23.8%	23.9%	24.2%	24.3%
Adj. EPS growth	12.9%	30.4%	28.9%	23.0%
Ratios				
Net debt/EBITDA	NM	NM	NM	NM
ROIC	-	-	-	-
ROE	29.5%	30.1%	31.3%	30.9%
Valuation				
FCFF yield	3.9%	5.1%	6.6%	7.6%
Dividend yield	1.4%	1.8%	2.3%	2.9%
EV/Revenue	5.9	4.4	3.3	2.6
EV/EBITDA	18.2	13.6	10.2	7.9
Adj. P/E	21.6	16.6	12.8	10.4

Summary Investment Thesis and Valuation

MGP is a rare domestic beauty brand benefiting from experience-led consumption in China. With a 25-year history and a differentiated consumer experience (one-on-one personalized makeup and skincare services), we believe MGP has a significant opportunity to grow and double its market share in the prestige cosmetics market from the current 2%. We believe MGP's enhanced brand equity, a distinctive offline presence that boosts penetration, solid product offerings, and category expansion should drive 26%/27% revenue and earnings CAGRs over 25-28E.

Our DCF-based Dec-26 PT of HK\$130 implies 31x P/E for 27E. We derive our 8.0% WACC assuming a 3.0% risk-free rate, 6% risk premium, 8.4% cost of equity and terminal growth rate of 2.0%.

Performance Drivers

Market	0%
Region	0%
Macro	26%
Style	12%
Idiosyn.	62%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.20	-0.03
Region: Hong Kong	-0.19	-0.04
Macro:		
JP Morgan GBI-EM Global Div	0.32	0.43
JPM EM Currency(EMCI) Fixing	0.17	0.34
JPM China A-shares Sentiment	0.31	0.19
Quant Styles:		
Momentum	-0.42	-0.30
Size	-0.43	-0.28
DivYld	0.11	0.17

Investment Thesis, Valuation and Risks

Mao Geping Cosmetics Co., Ltd. - H (Overweight; Price Target: HK\$130.00)

Investment Thesis

MGP is a rare domestic beauty brand benefiting from experience-led consumption in China. With a 25-year history and a differentiated consumer experience (one-on-one personalized makeup and skincare services), we believe MGP has a significant opportunity to grow and double its market share in the prestige cosmetics market from the current 2%. We believe MGP's enhanced brand equity, a distinctive offline presence that boosts penetration, solid product offerings, and category expansion should drive 26%/27% revenue and earnings CAGRs over 25-28E.

Valuation

Our DCF-based Dec-26 PT of HK\$130 implies 31x P/E for 27E. We derive our 8.0% WACC assuming a 3.0% risk-free rate, 6% risk premium, 8.4% cost of equity and terminal growth rate of 2.0%

Rmb in millions	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Sales	8,376	10,219	12,073	14,015	15,949	17,214	18,020	18,635	19,021	19,377
EBIT	2,631	3,225	3,826	4,461	5,097	5,520	5,798	6,016	6,160	6,294
Tax rate %	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%
NOPAT	1,973	2,419	2,870	3,346	3,823	4,140	4,349	4,512	4,620	4,721
D&A	92	107	125	146	169	195	220	243	266	286
W.C. change	-148	-291	-28	-303	-290	-84	-287	-135	-172	-152
Capex	186	227	268	311	354	382	399	413	422	430
as % of sales	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%
FCFF	1,731	2,008	2,699	2,878	3,349	3,869	3,882	4,207	4,293	4,426
NPV of FCFF	21,024									
PV of terminal value	34,758									
Net debt	-3,367									
Minority	5									
Equity value	59,144									
Value per share (Rmb)	121									
Value per share (HK\$)	130									

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Risks to our rating and price target include: Key personnel risk, weaker-than-expected consumer sentiment, slower-than-expected offline expansion, intensified competition, and a failure to promote new brands and new products.

Mao Geping - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	3,885	5,050	6,568	8,376	10,219	Cash flow from operating activities	969	1,199	1,580	1,888	2,205
COGS	(607)	(797)	(1,032)	(1,307)	(1,583)	o/w Depreciation & amortization	78	91	74	92	107
Gross profit	3,278	4,254	5,536	7,069	8,636	o/w Changes in working capital	(7)	(73)	(5)	(148)	(291)
SG&A	(2,172)	(2,707)	(3,487)	(4,438)	(5,412)						
Adj. EBITDA	1,184	1,637	2,123	2,723	3,331	Cash flow from investing activities	(628)	(1,108)	(243)	(186)	(227)
D&A	(78)	(91)	(74)	(92)	(107)	o/w Capital expenditure	(123)	(186)	(242)	(184)	(225)
Adj. EBIT	1,106	1,546	2,049	2,631	3,225	as % of sales	3.2%	3.7%	3.7%	2.2%	2.2%
Net Interest	(5)	(2)	0	0	0						
Adj. PBT	1,177	1,607	2,095	2,701	3,321	Cash flow from financing activities	1,311	(405)	(406)	(525)	(645)
Tax	(295)	(402)	(524)	(675)	(830)	o/w Dividends paid	(1,025)	(353)	(471)	(607)	(746)
Minority Interest	(1)	(1)	(2)	(2)	(3)	o/w Shares issued/(repurchased)	2,071	311	0	0	0
Adj. Net Income	881	1,204	1,570	2,023	2,488	o/w Net debt issued/(repaid)	317	(320)	0	0	0
Reported EPS (Basic)	2.18	2.46	3.20	4.13	5.08	Net change in cash	1,654	(354)	930	1,177	1,334
Adj. EPS	2.18	2.46	3.20	4.13	5.08						
						Adj. Free cash flow to firm	850	1,015	1,338	1,703	1,980
DPS	2.47	0.72	0.96	1.24	1.52	y/y Growth	35.2%	19.4%	31.8%	27.4%	16.3%
Payout ratio	113.6%	29.3%	30.0%	30.0%	30.0%						
Shares outstanding	405	490	490	490	490						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	2,847	2,443	3,370	4,546	5,880	Gross margin	84.4%	84.2%	84.3%	84.4%	84.5%
Accounts receivable	215	241	335	376	464	EBITDA margin	30.5%	32.4%	32.3%	32.5%	32.6%
Inventories	324	519	443	632	842	EBIT margin	28.5%	30.6%	31.2%	31.4%	31.6%
Other current assets	62	1,076	1,076	1,076	1,076	Net profit margin	22.7%	23.8%	23.9%	24.2%	24.3%
Current assets	3,447	4,279	5,223	6,631	8,263						
PP&E	279	457	625	719	838	ROE	34.9%	29.5%	30.1%	31.3%	30.9%
LT investments	-	-	-	-	-	ROA	26.8%	24.1%	25.8%	27.4%	27.6%
Other non current assets	747	798	798	798	799	ROCE	30.4%	26.9%	29.0%	30.1%	29.8%
Total assets	4,473	5,533	6,647	8,147	9,899	SG&A/Sales	55.9%	53.6%	53.1%	53.0%	53.0%
						Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	320	0	0	0	0	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	92	159	172	254	261						
Other short term liabilities	539	664	664	664	664	Sales/Assets (x)	1.2	1.0	1.1	1.1	1.1
Current liabilities	951	823	836	918	926	Assets/Equity (x)	1.3	1.2	1.2	1.1	1.1
Long-term debt	0	0	0	0	0	Interest cover (x)	223.9	705.1	-	-	-
Other long term liabilities	19	40	40	40	40	Operating leverage	89.7%	132.8%	108.1%	103.2%	102.6%
Total liabilities	970	863	876	958	966	Tax rate	25.1%	25.0%	25.0%	25.0%	25.0%
Shareholders' equity	3,501	4,666	5,765	7,182	8,923	Revenue y/y Growth	34.6%	30.0%	30.0%	27.5%	22.0%
Minority interests	2	4	5	8	10	EBITDA y/y Growth	29.6%	38.3%	29.7%	28.3%	22.4%
Total liabilities & equity	4,473	5,533	6,647	8,147	9,899	EPS y/y Growth	(34.3%)	12.9%	30.4%	28.9%	23.0%
BVPS	8.65	9.52	11.77	14.66	18.21						
y/y Growth	11.9%	10.1%	23.5%	24.6%	24.3%	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	24.4	21.6	16.6	12.8	10.4
Net debt/(cash)	(2,483)	(2,367)	(3,293)	(4,470)	(5,804)	P/BV (x)	6.1	5.6	4.5	3.6	2.9
						EV/EBITDA (x)	25.1	18.2	13.6	10.2	7.9
						Dividend Yield	4.7%	1.4%	1.8%	2.3%	2.9%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Mao Geping - H (1318.HK, 1318 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
12-Oct-25	OW	99.55	128
14-Jan-26	OW	87.20	130

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 12, 2025. All share prices are as of market close on the previous business day.

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